

BRIEFING NOTE • SEPTEMBER 2026

Russia in 2026

A war economy under sanctions, the US-Russia channel and the monetary dimension

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Data as of 29 September 2026



Five steps to understanding Russia today

01

Economy and society

Growth, public finances, energy, strengths and constraints

02

War, peace track and the US

From the Alaska summit to the Dmitriev talks

03

The case for a US-Russia deal

What each side would gain, and the limits

04

The monetary dimension

Ruble, reserves, frozen assets, digital ruble

05

Areas for further analysis

Nine dimensions for a complete picture

From war-driven boom to near-stagnation

+1.0%

GDP growth in 2025

After about 4% in 2023 and 2024

0-1%

Central bank 2026 forecast

Cut in July from 0.5-1.5%; Q1 2026: -0.2%

14%

Key rate

Held on 11 Sep 2026; next meeting 23 Oct

6.3%

Annual inflation

7 Sep 2026; target 4%, expected in 2027

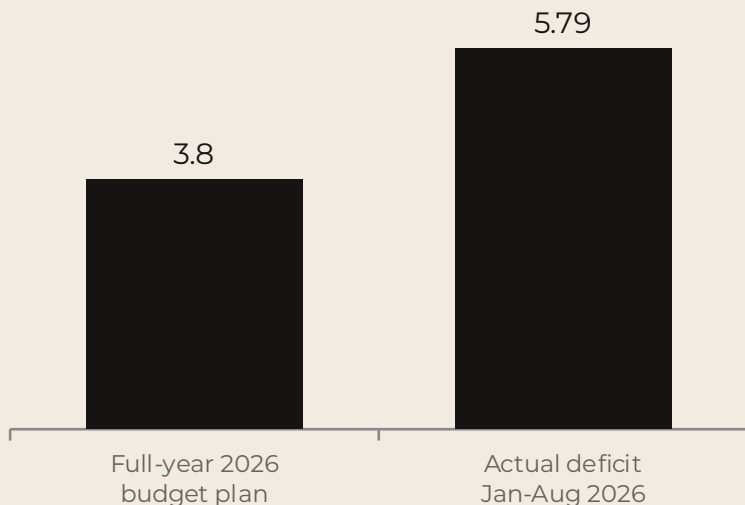
What drives it: military spending kept growth up in 2023-24; tight monetary policy, labour shortages and sanctions now weigh on activity.

2026 shock: Ukrainian strikes on refineries since mid-May cut fuel output, pushed up prices and led to fuel export bans.

Reading note: since 2022 Russia has restricted publication of many statistics (trade, budget detail, some output data). Official figures should be read with caution.

A widening deficit, a shrinking cushion

Federal budget deficit (RUB trillion)



Eight months in, the deficit (2.5% of GDP) was already 50% above the full-year plan (1.6% of GDP).



Spending +14.7% year on year (Jan-Aug); non-oil revenues +18.1%, helped by tax rises.



Oil price whiplash: Urals rose to ~\$120 during the Strait of Hormuz crisis, then fell below \$65 by mid-June.



Refinery strikes and US sanctions on Rosneft and Lukoil (Oct 2025) squeeze oil and gas revenues.



National Wealth Fund liquid assets: about RUB 4 tn in February 2026, drawn down at a record pace.

The pivot east: indispensable, but on China's terms

99%

of Russia-China trade settled in rubles and yuan

Finance Minister Siluanov, Nov 2025

> 75%

of Russian oil exports under US sanctions

Since Rosneft and Lukoil were listed, Oct 2025

\$44.10

EU/G7 price cap per barrel

Frozen until July 2027 (21st EU package)



Power of Siberia 2: approved in principle, stuck on price

- Planned capacity: up to 50 bcm a year from Yamal to China via Mongolia; no construction timeline as of July 2026
- Price gap: China reportedly offers ~\$50 per 1,000 m³ against Russia's ~\$250 (Power of Siberia 1: \$240-280)
- China has alternatives (domestic output, Central Asia, LNG) and no reason to rush

Real assets, structural limits



Strengths

- World's largest wheat exporter: ~50 Mt expected in 2025/26
- Global leader in nuclear plant exports (Rosatom)
- Vast energy and mineral resources; Arctic route
- Very low unemployment: 2.3% (July 2026)
- Trade successfully rerouted to Asia since 2022



Constraints

- Labour shortage: ~3.1 m workers missing by 2030 (official projection)
- Fertility around 1.4; births at a historic low
- Mobilisation and emigration drain skilled workers
- Dependence on imported technology and parallel imports
- Growing reliance on China as buyer and supplier

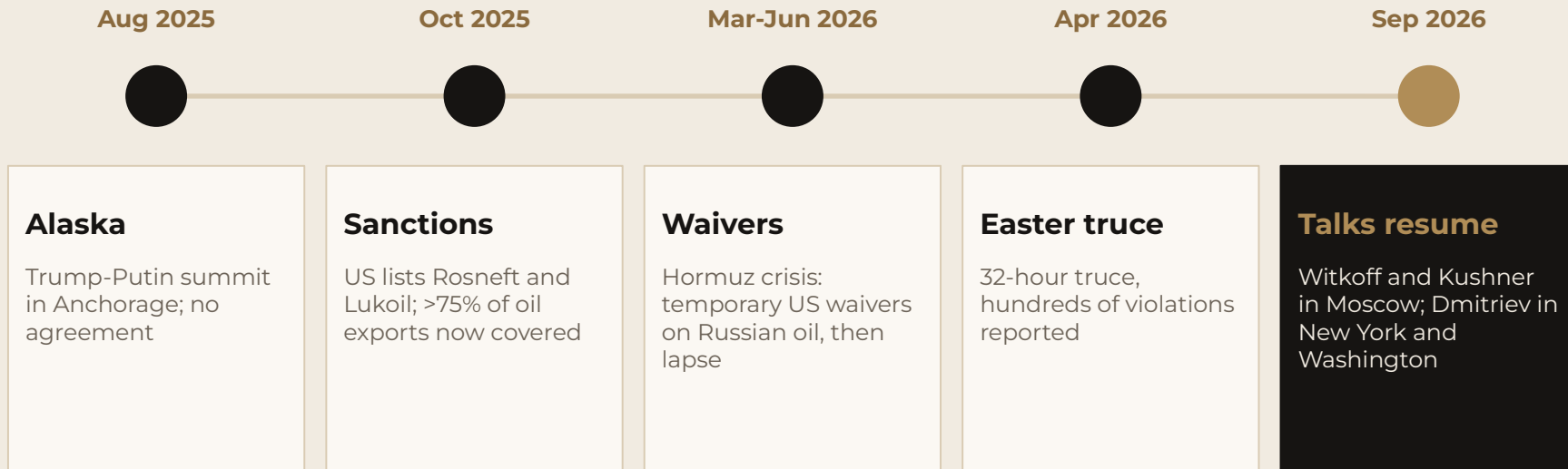
02



War, peace track and the US

Diplomacy resumes, the front does not stop

Thirteen months of stop-and-go diplomacy



Meanwhile: fighting and long-range strikes continue on both sides, including on energy infrastructure. No lasting ceasefire has held in 2026.

Dmitriev in Washington, 28-29 September



Who and what

- Kirill Dmitriev, Putin's special envoy and head of the RDIF sovereign fund
- Met US Treasury and Energy Department officials in Washington, after talks in New York with Steve Witkoff and Jared Kushner
- Agenda: economic cooperation, a peaceful settlement in Ukraine, possible US-Russia energy initiatives after the war
- A US official called the talks “constructive”
- Earlier in September, Witkoff and Kushner met Putin in Moscow

What is on the table



Energy ceasefire

Mutual halt to strikes on energy infrastructure; Zelensky says Ukraine is “ready”.



Black Sea grain corridor

Reopening shipping routes, backed by Turkey, India, UAE and Egypt.



Trilateral talks

Technical talks floated for Abu Dhabi; the Kremlin says conditions for a summit are not ready.

Four fault lines blocking a settlement



Territory

Russia cites its battlefield advances and keeps demanding Ukrainian concessions; Kyiv says the issue remains open.



Security guarantees

Moscow wants limits on NATO and Ukraine's army; Europe plans a “coalition of the willing” to guard any ceasefire.



Sanctions

US listings of Rosneft and Lukoil remain; the EU adopted its 21st package in July 2026. Relief is Moscow's main ask.



Frozen assets

≈ \$300 bn of central bank reserves immobilised; the EU froze its €210 bn indefinitely in December 2025.

Assessment: the September talks restarted after a six-month pause, but observers saw “little progress toward peace”.

What each side would gain, and the limits



United States

- Lower global fuel and diesel prices
- Energy and Arctic business opportunities
- Distance Moscow from Beijing
- A foreign-policy “deal”



Russia

- Sanctions relief and access to Western finance
- Unfrozen reserves and technology imports
- Less dependence on China
- Recognition as a great power



The world

- Fewer strikes on energy infrastructure
- Safer Black Sea grain exports
- Lower commodity and freight volatility
- Reduced nuclear escalation risk

Limit: any economic opening depends on a Ukraine settlement, Congress, and the EU, which holds most frozen assets and its own sanctions regime.

04



The monetary dimension

Ruble, reserves, frozen assets and the digital ruble

De-dollarisation by necessity

84.5

rubles per US dollar

28 Sep 2026; -1.7% over 12 months

99%

of Russia-China trade in rubles and yuan

Dollar and euro almost gone

14%

key rate

High rates support the ruble but choke credit

SPFS

Russia's SWIFT substitute

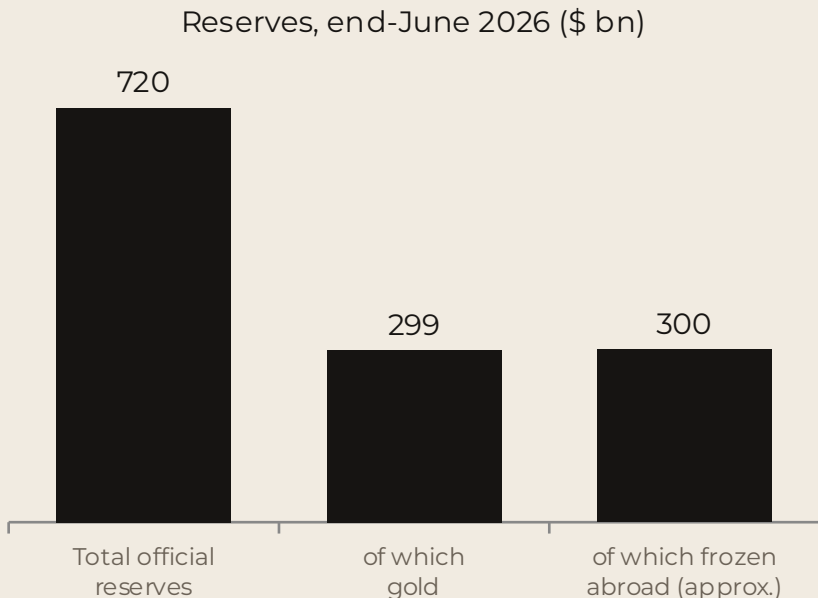
33 more banks linked to it sanctioned by the EU in July 2026

How it works: cut off from SWIFT and dollar clearing, Russia settles trade in rubles, yuan and other “friendly” currencies, through SPFS, correspondent accounts and increasingly crypto platforms.

The cost: payment delays, higher fees and a growing yuan dependence; the EU now targets third-country banks and crypto providers.

Unlike China's hedging strategy, Russia's de-dollarisation is forced: it reflects exclusion from the dollar system, not a bid to challenge it.

Reserves: large on paper, partly out of reach



The frozen amount ($\approx$ \$300 bn since 2022) is an estimate and is still counted in official reserves.

2,282 t

official gold holdings

1 July 2026

-43.5 t

gold sold in H1 2026

To cover the deficit; first sales after 20 years of buying

$\approx$ 41%

gold share of reserves

End-June 2026

RUB 18.2 tn

damages a Moscow court ordered from Euroclear

May 2026; unlikely to be enforced in the EU

The digital ruble goes mainstream



Mass rollout since 1 September 2026

The largest banks must offer digital-ruble wallets, transfers and payments; laggards have until 31 December 2026.



Adoption intentions

46% of Russians plan to use it immediately and 36% later; 62% of 18-24 year-olds say they are ready.



Next steps

Transfers and payments come first; loans and deposits in digital rubles could follow by 2029 if pilots succeed.



What it means for business partners

- Sanctions compliance comes first: US and EU rules, including secondary sanctions on third-country banks
- Payments run mostly in rubles and yuan; expect delays, fees and conversion risk
- Watch the peace track: any sanctions relief would be gradual and conditional
- Frozen-asset litigation (Euroclear) creates legal risk for some counterparties

Nine dimensions for a complete picture



Domestic politics

Power vertical, elites, succession



War economy

Defence spending, military industry



Regional disparities

Regional budgets, local debt



Arctic

Northern Sea Route, LNG, resources



Russia and China

Asymmetry, energy, payments



Global South

India, Africa, BRICS, Middle East



Europe

Security, energy decoupling, assets



Technology

Import substitution, AI, chips



Data reliability

Classified statistics, proxies

KEY TAKEAWAYS

Resilient, but running on reserves

1

An economy near stagnation

Growth of 0-1% in 2026, inflation above 6%, a 14% key rate and a deficit well beyond plan.

2

A pivot east with limits

Asia buys Russian energy, but China sets the terms, as Power of Siberia 2 shows.

3

Diplomacy restarted, no settlement

The Dmitriev talks keep the US channel open; territory, guarantees and sanctions remain blocked.

4

Forced de-dollarisation

Rubles and yuan, SPFS, gold sales and the digital ruble: a system built around exclusion.

Next: possible trilateral talks in Abu Dhabi; Bank of Russia meeting on 23 October.

Main sources

- Bank of Russia: key rate decision (11 Sep 2026); digital ruble
- Rosstat via Interfax: GDP 2025 and Q1 2026
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- CEPA: US oil sanctions on Russia
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- Kitco: Bank of Russia gold sales (21 Jul 2026)
- The Moscow Times: Euroclear ruling; oil waivers; budget
- The Insider: Russia's economy in 2026 (Feb 2026)
- Trading Economics: ruble, unemployment
- Politics Today: Russia-China settlements (Nov 2025)

Method: Russian official sources (TASS, Rosstat, ministries) are cross-checked with independent outlets. Figures are as reported on 29 September 2026.